San Fermo Employee Handbook
General Policies and Procedures

1. Company Description and Hours

San Fermo is a full-service restaurant, currently open for dinner 7 nights a week. These hours may vary from time to time due to special event schedules and holidays. We typically close for 4th of July, Thanksgiving, Christmas Day, and New Year's Day. Further closures will be announced in advance when possible. Occasionally it may be necessary to close with short notice due to facility issues, power outages, utility problems, or other emergencies. San Fermo does not offer hourly pay for periods when the restaurant is closed.

2. Equal Employment Opportunity

San Fermo will not discriminate because of race, religion, color, sex, age, creed, national origin, marital status, sexual orientation, gender identity, physical or mental disability, or any other non-merit factor. This policy relates to all phases of employment, including but not limited to: recruiting, hiring, promotion, demotion, layoff, termination, rates of pay, and other forms of compensation. In handling physical and mental disabilities, San Fermo will make reasonable accommodations in accordance with the Americans with Disabilities Act and other relevant law.

3. Job Requirements

When hiring for a specific position, the general requirements will be made clear to prospective candidates. These requirements may include: physical and ambulatory abilities, communication skills, language skills, schedule availability, competency within a nuanced or skilled role, proficiency with equipment, and ability to maintain sustained productivity during general working conditions. If an employee's ability to perform necessary job requirements changes during their employment, San Fermo will work to accommodate; however, all employees will understand and agree that such changes may drastically reduce or eliminate their hours worked, and in some cases, their wage or compensation may change based on a new role.

4. Tipping and Service Charge

San Fermo charges a 23% Service Charge on all pre-tax sales. This revenue is retained by the restaurant to support hourly wages, salaries, and sales commissions. San Fermo actively discourages tipping from customers. The Service Charge supports a fair wage model throughout the restaurant and provides a sales commission for Front of House staff in direct sales positions (i.e., Maître d', servers, and bartenders). In some cases, employees may receive voluntary tips from customers; however, the practice of actively soliciting tips will not be tolerated, and any employee found to have engaged in active tip solicitation may be subject to disciplinary action, including suspension, demotion, or immediate termination. When an employee receives a gratuity from a guest, it is the employee's responsibility to report these earnings to management for proper income reporting to the Internal Revenue Service.

5. Sales Commission

Hourly servers, bartenders, and Maître d' staff will receive a per-shift sales commission as part of their normal payroll compensation. The commission will equal 36% of the Service Charge received during any given shift, and will be distributed equally based on hours worked amongst the service team on each specific shift. Service team employees will have access to commission tracking throughout payroll periods and will receive a complete report following each cycle.

6. PROHIBITED CONDUCT

In order to assure orderly operations and provide the best possible work environment, San Fermo expects Employees to follow rules of conduct that will protect workplace safety and compliance with various statutes and regulations that govern our industry. It is not possible to list all the forms of behavior that are considered unacceptable in the workplace, but the following are examples of infractions of rules of conduct that may result in disciplinary action, including suspension, demotion, or immediate termination:

A. **Theft** – This is unacceptable at San Fermo, and any employee caught stealing or misappropriating company property will be subject to immediate termination. Theft is further defined as follows:
    1. Physically taking anything not belonging to you, whether from the company, coworker, guest or vendor.
    2. Falsifying and or altering inventory numbers or sales for personal benefit.
    3. Taking or "borrowing" money from the cash till.
    4. Falsifying time records reported for payroll.
    5. Altering sales tickets for financial gain.

B. **Violence in the workplace** – San Fermo has a zero-tolerance policy for violence. Any employee who engages in any violence in the workplace or threatens violence in or outside the workplace to other employees, guests, or vendors will be subject to immediate termination. No talk of violence or joking about violence will be tolerated. Violence and our related policies are defined below:
    1. Physically harming another, shoving, pushing, harassing, intimidating, coercing, brandishing weapons, and/or threatening or talking of engaging in those activities.
    2. Any other act that creates a hostile or unsafe environment, as interpreted by the person who raises the complaint.
    3. San Fermo specifically prohibits the possession of weapons by any employee while on company premises. This ban includes keeping or transporting a weapon in a vehicle in a parking area while working. Weapons include guns, knives, explosives, and other items with the potential to inflict harm. If questions or conflicts arise about this policy they should be raised with a manager before potential violations occur.

C. **Drinking alcohol during your shift** – Any level of alcohol consumption while working is specifically prohibited by the Washington State Liquor Control Board and grounds for immediate termination. Exceptions are made for wine and spirits tastings conducted or approved by management.

D. **Being under the influence of alcohol or recreational drugs when arriving for work** – If you are found to be under the influence and impaired, you will be sent home and subject to disciplinary action or immediate termination. ***Drugs proscribed by a physician that impair an employee's mental state must be brought to the attention of management, before coming to work under the influence of such drugs. This includes medical marijuana use, pain killers, muscle relaxers etc. San Fermo reserves the right to prevent employees working under the influence of any substance that could negatively impact the safety of an employee or their peers and customers.***
E. **Falsification of employment records** – Falsifying employment information or other records are grounds for immediate termination.
F. **Removing or borrowing San Fermo property** – Taking property without prior authorization represents risk of immediate termination.
G. **Insubordination** – This includes but is not limited to failure or refusal to obey the orders or instructions of any Manager or member of Management, or the use of abusive or threatening language toward any Manager or member of Management.
H. **Failure to notify the appropriate Manager when unable to report to work** – If you are unable to report to work, you must notify your manager at least 2 hours before you are scheduled to commence work. Cell phone texting is not an appropriate form of communicating your absence to your manager.
I. **Failure to obtain permission to leave work for any reason during normal work hours**.
J. **Abusing or falsifying accounts for paid sick leave**.
K. **Committing a fraudulent act or breach of trust under any circumstances**.

Employment may be terminated at will either by the Employee or San Fermo at any time, without following any formal system of discipline or warning. San Fermo may exercise its discretion to utilize forms of discipline that are less severe than termination. Examples of less severe forms of discipline include verbal warnings, written warnings, demotions, and suspensions. While one or more of these forms of discipline may be taken in connection with a particular Employee, no formal order or procedures are necessary.

This statement of prohibited conduct does not alter or limit San Fermo's policy of employment at will. Either you or San Fermo may terminate the employment relationship at any time for any reason, with or without cause or without notice.

7. Open Door Policy

San Fermo recognizes that Employees will have suggestions for improving the workplace, as well as complaints about the workplace. The most satisfactory solution to a job-related problem or concern is usually reached through a prompt discussion with your Manager. Please feel free to contact your Manager with any suggestions and/or complaints.
If you do not feel comfortable contacting your Manager or are not satisfied with your Manager's response, please submit your complaint or suggestion in writing to the

Operating Partner who will review your written submission and provide you with a final resolution.

While San Fermo provides you with this opportunity to communicate your views, please understand that not every complaint can be resolved to your satisfaction. Even so, San Fermo believes that open communication is essential to a successful work environment and all employees should feel free to raise issues of concern without fear of reprisal.

8. UNLAWFUL HARRASMENT

It is San Fermo's policy to provide a work environment based on mutual respect, and one that encourages productive and cooperative work. Harassment based on an employee's race, sex, color, national origin, ancestry, religion, creed, physical or mental disability, age, sexual orientation, or any other basis protected by federal, state, or local law is inconsistent with that policy and will not be tolerated. Harassment includes, but is not limited to, slurs, jokes, teasing, or name calling directed at one of the above categories. San Fermo will not tolerate harassment and will promptly investigate and address all reported allegations including taking disciplinary action. Harassment of employees by clients, customers, contractors, vendors, or other non-employees is also prohibited. San Fermo will not permit retaliation against an employee for filing a complaint of harassment or for cooperating in a harassment investigation.

A. Sexual Harassment Defined

Applicable state and federal law defines sexual harassment as unwanted sexual advances, requests for sexual favors, or visual, verbal, or physical conduct of a sexual nature when: (1) submission to the conduct is made a term or condition of employment; or (2) submission to or rejection of the conduct is used as basis for employment decisions affecting the individual; or (3) the conduct has the purpose of effect of unreasonably interfering with the Employee's work performance or creating an intimidating, hostile, or offensive working environment. This definition includes many forms of offensive behavior. The following is a partial list:

1. Unwanted sexual advances.
2. Offering employment benefits in exchange for sexual favors.
3. Making or threatening reprisals after a negative response to sexual advances.
4. Visual conduct such as leering, making sexual gestures, or displaying sexually suggestive objects, pictures, cartoons, or posters.
5. Verbal conduct such as making or using derogatory comments, epithets, slurs, sexually explicit jokes, or comments about any Employee's body or dress.
6. Verbal sexual advances or propositions.
7. Verbal abuse of a sexual nature, graphic verbal commentary about an individual's body, sexually degrading words to describe an individual, or suggestive or obscene letters, notes or invitations.
8. Physical conduct such as touching, assault, or impeding or blocking movements

9. Retaliation for reporting harassment or threatening to report harassment.

It is unlawful for males to sexually harass females or other males, and for females to sexually harass males or other females. Sexual harassment on the job is unlawful whether it involves coworker harassment, harassment by a Manager, or harassment by persons doing business with or for San Fermo.

B. Other Types of Harassment

Prohibited harassment on the basis of race, color, national origin, sexual orientation, ancestry, religion, physical or mental disability, age, or any other protected basis, includes behavior similar to sexual harassment, such as:

1. Verbal conduct such as threats, epithets, derogatory comments, or slurs.
2. Visual conduct such as derogatory posters, photographs, cartoons, drawings, or gestures.
3. Physical conduct such as assault, unwanted touching, or blocking normal movement.
4. Retaliation for reporting harassment or threatening to report harassment.

C. San Fermo's Complaint Procedure

Do not assume San Fermo is aware of your harassment problem. It is your responsibility to bring your complaints and concerns to our attention so that we can help resolve them. All employees are responsible for keeping our workplace free of harassment. San Fermo's complaint procedure provides for an immediate, thorough, and objective investigation of any claim of unlawful or prohibited harassment, appropriate disciplinary action against one found to have engaged in a prohibited harassment, and appropriate remedies for any victim of harassment. A claim of harassment may exist even if the Employee has not lost a job or some economic benefit.

If you believe you have been harassed on the job, or if you are aware of the harassment of others, you should provide a written or verbal complaint to your Manager or to any other Manager with San Fermo or the Operating Partner as soon as possible. These different means of reporting complaints are provided so that an employee does not have to deal directly with the person whom the employee believes is engaged inappropriate conduct. Your complaint should be as detailed as possible, including the names of individuals involved, the names of any witnesses, direct quotations when language is relevant, and any documentary evidence (notes, pictures, et cetera). All complaints will be investigated impartially, promptly, thoroughly and as confidentially as possible. San Fermo will immediately undertake or direct an effective, thorough, and objective investigation of the harassment allegations. The investigation will be completed and a determination regarding the reported harassment will be made and communicated to the Employee who complained and to the accused harasser(s). Employees are expected to cooperate in the investigation process.

San Fermo also prohibits retaliation against any Employee by another Employee or by San Fermo for using this complaint procedure or for filing, testifying, assisting, or participating in any manner in any investigation, proceeding, or hearing conducted by a governmental enforcement agency. Additionally, San Fermo will not knowingly permit any retaliation against any Employee who complains of prohibited harassment or who participates in an investigation.

If San Fermo determines that prohibited harassment has occurred, San Fermo will take immediate remedial action commensurate with the circumstances. Appropriate action will also be taken to deter any future harassment. If a complaint of prohibited harassment is substantiated, appropriate disciplinary action, up to and including discharge, will be taken. Whatever action is taken against the harasser will be communicated to the Employee who complained.

D. Liability for Harassment

Any Employee of San Fermo, whether a coworker or Manager, who is found to have engaged in prohibited harassment is subject to disciplinary action, up to and including discharge from employment. Any Employee who engages in prohibited harassment, including any Manager who knew about the harassment but took no action to stop it, may be held personally liable for monetary damages. San Fermo does not consider conduct in violation of this policy to be within the course and scope of employment or the direct consequence of the discharge of one's duties. Accordingly, to the extent permitted by law, San Fermo reserves the right not to provide a defense or pay damages assessed against Employees for conduct in violation of this policy.

E. Additional Enforcement Information

In addition to San Fermo's internal complaint procedure, Employees should also be aware that the federal Equal Employment Opportunity Commission (EEOC) and appropriate state agencies investigate and prosecute complaints of unlawful harassment in employment. Employees who believe that they have been unlawfully harassed may file a complaint with either of these agencies. The EEOC and the appropriate agency(ies) serve as neutral fact finders and attempt to help the parties voluntarily resolve disputes.

For more information, contact San Fermo's Operating Partner. You may also contact the nearest office of the EEOC or other appropriate city or state agency(ies).

Alcohol Service Standards

Front of House. These standards supplement Section 6, Prohibited Conduct, item C. Several are stricter than Washington law by design; the Liquor and Cannabis Board encourages licensees to set house policies above the legal minimum, and San Fermo does.

Permits

Every employee who serves, pours, or supervises alcohol service holds a current MAST permit (Class 12, or Class 13 for employees aged 18 to 20, who may take orders but may not pour or mix). A copy is kept on file in the staff portal under Compliance and is available for inspection. Renewing before expiration is the employee's responsibility; an expired permit removes you from alcohol service until it is renewed.

Checking Identification

Ask for identification from any guest who appears to be under 50 before serving alcohol, including regulars and guests you know. When in doubt, card. Carding an entire section is always acceptable. Acceptable identification is current, unexpired, and bears a photo and date of birth: a U.S. or Canadian driver's license or state ID, a passport or passport card, a U.S. military ID, a permanent resident card, a NEXUS or Global Entry card, or a Washington tribal enrollment card. Expired documents, foreign driver's licenses, school IDs, and photographs of an ID on a phone are not accepted. A vertical Washington license identifies a person under 21. Read the date of birth; do not estimate.

The Bar

The manager on duty checks identification before a guest is seated at the bar, and the bartender checks again before the first pour. Both checks happen every time.

Bottles and Tables

When a table orders a bottle of wine, every guest at the table shows identification. Families with small children need nothing beyond that. At any table you suspect may share alcohol with an underage guest, a group of young adults with one guest under 21 being the clearest example, the server pours, the bottle stays at the station rather than on the table, and the other staff on the floor are told to keep an eye on it. Any table found passing a drink to a guest who was not served it is asked to leave: all alcohol is cleared, the check is settled or comped as needed, and the matter is not debated.

Intoxication and Pacing

A guest showing signs of intoxication is not served more alcohol. There are no exceptions; involve the manager on duty if you need support. Pace rounds conservatively so that a cut-off is rarely necessary.

Complimentary Drinks

A server or the manager on duty may offer an occasional complimentary drink, for an anniversary or to make up for a service problem, to a guest who is of age and has shown identification. Complimentary alcohol is never advertised, posted, or offered as a standing program.

Non-Alcoholic Beverages and Unfinished Wine

Non-alcoholic items are listed in their own section of the menu and labeled as such. Ring them on their own buttons, never as a modified cocktail. Beer under 0.5% ABV is served to adults only. A guest may take home an unfinished bottle of wine purchased with a meal; recork it and send it in its original bottle.

Talking With Guests

If a guest objects to being carded, apologize and explain that San Fermo follows Washington State Liquor and Cannabis Board requirements and house policy to protect its license. Do not discuss enforcement activity, inspections, or violations with guests.

Staff Consumption

No employee consumes alcohol or uses drugs during a shift. A shift drink may be served only after the employee has clocked out. Violation is grounds for immediate termination, consistent with Section 6.

The full standards, with current contacts and the acknowledgment each employee signs, are posted in the staff portal under Compliance. Revised October 2026.

9. EMPLOYEE ACKNOWLEDGMENT FORM

Since the information and policies described here are necessarily subject to change, I acknowledge that revisions may occur. All such changes will be communicated through official notices, and I understand that revised information may supersede, modify or eliminate existing policies. Only the Operating Partner of San Fermo has the ability to adopt any revisions to the policies.

10 . Hourly Sick/Safe Time (SST) and use for PTO

- Based on anniversary year
- Accrual based on 1 hour for every 40 hours worked
- Ineligible for the first 90 days after hire date
- Up to 40 hours rolls over to next anniversary year
- Not cashed out when employee leaves or is terminated
- Managers to track Sick time and adjust hours available
- Sick/Safe Time is paid out on the average hours worked from previous same shift records
- Use of SST hours for voluntary time off for personal days or vacation may be approved by the Manager based on advance notice.
- ***Must adhere to Sick/Safe Time Policy Outlined Below***

Paid Sick and Safe Time Policy – Personal illness or preventative care. Care for a family member's illness or preventative care (child, grandparent, parent, parent-in-law, spouse and registered domestic partner). Survivors of domestic violence, sexual assault or stalking, closure of workplace or child's school or place of care by public official to limit exposure to infectious agent, biological toxin or hazardous material. Use of Paid Sick and Safe Time must adhere to Sick and Safe Time Notification Policy.

Sick and Safe Time Notification Policy – If you are unable to work your shift due to one of the reasons outlined in the Sick and Safe Time sections above, it is important that you contact your manager immediately to notify us of your absence. It is critical that you speak to someone over the phone, texting or emailing is not an acceptable way to call out for your shift. If your condition prevents you from coming to work for additional shifts please contact your manager as soon as possible to allow for proper coverage. When contacting your manager please indicate if you would like to try and swap shifts with someone or if you would like to use your available SST hours. Failure to provide notification to your manager may result in disciplinary action. If you miss more than three consecutive shifts you will be required to provide documentation (e.g. statement from healthcare professional that sick time was necessary). If your manager suspects that these policies have been abused we will ask for documentation to support the absence, even with absences of less than three consecutive days. Employees who abuse Sick or Safe Time policies will be subject to disciplinary action and possible termination.

_____ _____

Signature Date

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Employee Name